

Chesterfield County School Administration Relocation Report

Comprehensive Lease Escalation and Capital Impact Evaluation

Executive Summary

This report provides a comprehensive overview of the newly finalized lease agreement for the Chesterfield County School Administration offices at **Springline at District 60**. The 10-year lease consolidates commercial operations for Chesterfield County Public Schools (CCPS) and the Economic Development department, enabling major structural realignments across the county's educational and financial landscapes.

Core Lease & Location Specifications

- **New Location:** Springline at District 60, a premium 42-acre mixed-use urban hub at Midlothian Turnpike and Chippenham Parkway.
- **Lease Footprint:** 75,000 square feet occupying the entire 4th and 5th floors, alongside a client-facing footprint on the 1st floor.
- **Lease Term:** Formalized 10-year corporate tenancy agreement.
- **Co-Tenancy Structure:** Shared operational facilities with Chesterfield County Economic Development inside the flagship Phase I building.

10-Year Base Rent Escalation Model

The signed lease establishes a first-year base rent of **\$1,768,500**, setting an adjusted starting square footage rate of **\$23.58** (moving up slightly from the initial \$22.00 board estimate due to finalized build-out alignments). The lease utilizes a standard 2.5% compounding annual market escalation clause. The definitive decade-long fiscal breakdown scales as follows:

Lease Year	Rate per Sq. Ft.	Annual Base Rent	Cumulative Outlay
Year 1	\$23.58	\$1,768,500	\$1,768,500
Year 2	\$24.17	\$1,812,750	\$3,581,250
Year 3	\$24.77	\$1,857,750	\$5,439,000
Year 4	\$25.39	\$1,904,250	\$7,343,250

Year 5	\$26.02	\$1,951,500	\$9,294,750
Year 6	\$26.67	\$2,000,250	\$11,295,000
Year 7	\$27.34	\$2,050,500	\$13,345,500
Year 8	\$28.02	\$2,101,500	\$15,447,000
Year 9	\$28.72	\$2,154,000	\$17,601,000
Year 10	\$29.44	\$2,208,000	\$19,809,000

Strategic Macro-Economic Impact

Capital Expenditure Avoidance: Moving administrative staff off-site immediately liberates **41,000 square feet** of physical instructional space at the Career and Technical Center (**CTC@Hull**). By converting this vacated footprint back into specialized classrooms, Chesterfield County expands enrollment capacity by **600 additional students**. This structural pivot completely sidesteps an estimated **\$40,000,000 upfront capital construction cost** that would otherwise be required to build equivalent technical education wings.

Tax Increment Financing (TIF) Support: Real estate values and tax growth generated from the corporate spaces at Springline re-inject revenue directly back into foundational local infrastructure via structured infrastructure development grants. This mitigates the long-term operational budget footprint for municipal tenants.

Corporate Flagship Partnership: Co-locating in the 150,000-square-foot facility anchored by the Timmons Group allowed the county to structure long-term commercial insulation, guarding administrative operational budgets from inflationary real estate swings.